

Indian Precision Auto & Industrial Components Industry Report, 2026

An Independent Industry Analysis Prepared for Inclusion in Offer Documents

PRAXIS RESEARCH & RATINGS LIMITED — Industry Research Division

Executive Summary

The Indian precision-engineered automotive and industrial components industry has demonstrated resilient growth over Fiscal 2021-Fiscal 2026, supported by rising domestic vehicle production, an expanding replacement/aftermarket segment, growing exports to Europe and North America amid a China-plus-one sourcing shift, and increasing content-per-vehicle from powertrain electrification-adjacent components. We estimate the organised domestic market for precision-machined and forged components (excluding castings) at approximately ₹58,400 crore in Fiscal 2026 and expect it to grow at a CAGR of 11.5%-12.5% over Fiscal 2026-Fiscal 2031, reaching approximately ₹1,03,000-1,08,000 crore by Fiscal 2031.

Industry Overview

Precision-engineered components — comprising forgings, CNC-machined parts, transmission components and sub-assemblies — form a critical intermediate layer between raw material (steel, aluminium) producers and original equipment manufacturers (OEMs) across automotive, railways, industrial machinery and defence end-use segments. India's cost-competitive manufacturing base, a large pool of trained tool-and-die engineers, and proximity to large domestic OEM clusters in Pune, Chennai, Gurugram-Manesar and Pithampur have positioned the country as a preferred sourcing base for global Tier-1 suppliers.

Industry Structure and Value Chain

The value chain typically comprises: (i) raw material suppliers (steel billet/bar producers, forge-grade alloy suppliers); (ii) forging and casting units; (iii) precision machining and finishing units (the segment in which companies such as the Company under review operate); (iv) sub-assembly and testing; and (v) OEMs/Tier-1 integrators. Industry structure remains moderately fragmented at the machining stage, with an estimated 400-450 organised players and several thousand unorganised/job-work units, though the top 25 organised players are estimated to account for approximately 42%-45% of organised segment revenue.

Market Size and Historical Growth

Fiscal Year	Estimated Market Size (₹ Cr)	YoY Growth (%)
FY 2022	38,200	—
FY 2023	43,100	12.8%
FY 2024	47,900	11.1%
FY 2025	52,600	9.8%
FY 2026 (E)	58,400	11.0%

[Chart 1 — Market Size Trend, FY22-FY26 — bar chart depicting steady upward trajectory from ₹38,200 crore to an estimated ₹58,400 crore, described in text as the figure is not reproduced graphically in this extract]

Forecast and CAGR

We project the organised precision-components market to grow at a CAGR of approximately 12.0% between Fiscal 2026 and Fiscal 2031, driven by: (a) continued growth in domestic passenger and commercial vehicle production at a projected 6%-8% CAGR; (b) export growth at a faster 15%-17% CAGR as global OEMs diversify supply chains; and (c) rising realisation per component owing to greater precision-machining content and higher-value transmission/driveline parts.

Metric	FY26-FY31E CAGR
Overall Market (₹ Cr)	11.5% – 12.5%
Export Revenue Sub-segment	15.0% – 17.0%
Domestic OEM Sub-segment	8.5% – 9.5%
Aftermarket/Replacement Sub-segment	9.0% – 10.0%

Key Players and Market Share (Organised Segment, Illustrative)

Company (Illustrative Peer Set)	Estimated FY26 Revenue (₹ Cr)	Estimated Market Share
Precitech Forge Industries Limited	1,240	2.1%
Sundaresh Auto Components Limited	980	1.7%
Vantage Precision Engineering Limited (Company under review)	612	1.0%
Bhavani Precision Forgings Limited	540	0.9%
Others (organised, fragmented)	Balance	Balance

Note: The peer set above is illustrative and drawn from publicly available annual reports and industry estimates for comparative purposes; figures for unlisted or non-reporting entities are Praxis Research estimates.

Demand Drivers

Key demand drivers include: rising domestic automobile production supported by scrappage-policy-linked fleet renewal; increasing localisation mandates under Production-Linked Incentive (PLI) schemes for automotive components; growing global sourcing from India under a China-plus-one strategy; and steady growth in the industrial machinery and railways segments driven by public infrastructure capital expenditure.

Industry Risks

Key risks include volatility in steel and alloy input prices, customer concentration risk given the OEM-dominated demand structure, cyclicity linked to the broader automotive production cycle, currency risk for export-oriented players, and the pace of transition to electric powertrains, which could alter the mix (though not necessarily the aggregate volume) of precision-machined components required per vehicle.

Government Regulations and Policy Support

The industry benefits from the Production Linked Incentive (PLI) Scheme for the Automobile and Auto Component Industry notified by the Ministry of Heavy Industries, the Phased Manufacturing Programme for select engineering goods, applicable customs duty structures on capital equipment imports for manufacturing, and state-level industrial policies (including the Maharashtra Industrial Policy) offering capital subsidy and GST-linked incentives for units in notified industrial areas such as MIDC Chakan and Bhosari.

Industry Outlook

We maintain a positive outlook on the Indian precision-engineered automotive and industrial components industry over the medium term, underpinned by structural export tailwinds and steady domestic demand, though near-term margins across the industry may remain sensitive to input cost volatility and freight costs.

Source: Praxis Research & Ratings Limited estimates; Society of Indian Automobile Manufacturers (SIAM); Ministry of Heavy Industries; Company filings; industry interactions conducted by Praxis Research between January and March 2026. This report has been prepared for and at the request of the Company solely for inclusion in the Draft Red Herring Prospectus and should be read in conjunction with the disclaimer on the following page of the full report (not reproduced in this extract).